

turns). That's not a flaw. Rather, that's just the way the pattern is constructed.

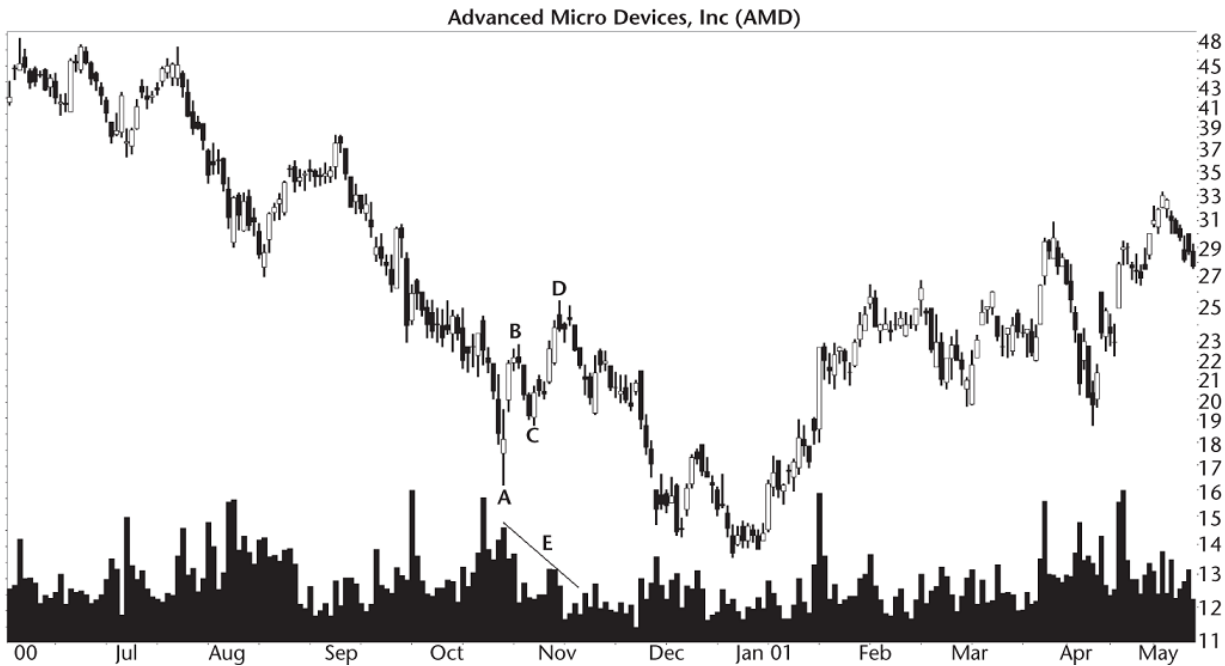


Figure 2.1 A bearish AB=CD pattern correctly predicts a downward move in the stock after turn D.

The duration (days) of AB should also equal the CD duration in the ideal case. Here we see leg AB lasting 6 calendar days and CD lasting 8. That's quite close, isn't it? Most of the time, like I described for price, point D's date can be far removed from the other points.

In well-behaved patterns of this type, the slope of the AB line should be similar to the CD slope, with a retrace in between. That's almost what you see in [Figure 2.1](#), but it's seldom that pretty. In fact, you can see some bizarre-looking AB=CD patterns even though they qualify as valid Fibonacci patterns.

Volume trends downward in this example, shown on the chart as E.

This ABCD is a good performer. Price completes a tidy and compact-looking pattern and then price falls, making an extended decline into December. That's how the pattern is supposed to behave.

Let's go through the guidelines for identifying these patterns.